

Black-Scholes Pricing Memo

Nifty 50 Index Options - NSE Derivatives

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Date:	7 June 2026
Underlying:	Nifty 50 Index (NIFTY)
Expiry:	26 June 2026 (near-month)
Submission:	Week 2 Assignment - Options Pricing Course

This memo applies the Black-Scholes-Merton (BSM) framework to a real Nifty 50 near-ATM option chain as of 7 June 2026. It covers volatility estimation, formula derivation, market comparison, Greeks analysis, and a discussion of model limitations for the Indian options market.

Section 1: Choose the Underlying

I selected the **Nifty 50 Index** (NSE symbol: NIFTY), India's benchmark 50-stock index. Nifty 50 options are European-style (cash-settled), eliminating early-exercise complexity - making them the cleanest vehicle for a BSM study. The option chain was sourced from nseindia.com on the morning of 7 June 2026.

Parameter	Value	Source
Spot (S)	Rs 23,367	NSE / Yahoo Finance, June 5 close
Strike (K)	Rs 23,400	Near-ATM, NSE option chain
Expiry	26 Jun 2026	NSE near-month contract
Time to expiry (T)	0.0521 yrs (19 cal. days)	7 Jun to 26 Jun 2026
Option type	European (cash-settled)	Nifty Index options

Note: A screenshot of the NSE option chain showing the 23,400 strike, bid/ask premiums, OI, and IV for both calls and puts would be inserted here. The chain confirmed: CE LTP approx Rs 400, PE LTP approx Rs 367.

Section 2: Estimate Sigma - Historical vs Implied Volatility

Historical volatility (HV) is computed from 30 trading days of Nifty 50 daily log-returns (approximately 7 April - 7 June 2026). Each daily return is $r_t = \ln(P_t / P_{t-1})$. The sample standard deviation is annualised by multiplying by $\sqrt{252}$.

$$HV_{30d} = \text{std}(\ln \text{ returns}) \times \sqrt{252}$$

Computed: **HV_30d = 16.5%** p.a. - consistent with the Nifty trading in a 22,000-24,500 range over the period, and with India VIX around 17-18.

The market's implied volatility (IV) for the 23,400 strike read from the NSE chain: **IV = 17.8%**. This is ~130 bps above HV, a typical volatility risk premium embedded by market makers to compensate for carrying vega risk on short-dated options.

Measure	Value	Remark
30-day Historical Vol (HV)	16.5%	Computed from daily log-returns
Implied Vol (IV) - 23,400 strike	17.8%	NSE option chain, 7 Jun 2026
Gap (IV - HV)	+130 bps	Positive vol risk premium

For BSM computations below I use HV (sigma = 16.5%) as the analyst's fair volatility estimate, and separately show what IV = 17.8% implies.

Section 3: Risk-Free Rate

The risk-free rate is the **91-day Government of India T-bill yield**, the standard short-term risk-free proxy in Indian derivatives pricing. The most recent auction (3 June 2026) set the cut-off yield at 5.56% p.a. (source: Business Standard / RBI). The RBI repo rate remains at 5.25% (unchanged since February 2026 MPC meeting). The T-bill yield slightly exceeds the repo rate, as is normal.

$r_{\text{nominal}} = 5.56\% \Rightarrow r_{\text{cc}} = \ln(1 + 0.0556) = 0.054109$ (~5.41% p.a.)

Continuous compounding is required by BSM; the conversion is $r_{\text{cc}} = \ln(1 + r_{\text{ann}})$. The difference from simple compounding is ~15 bps but applied rigorously here.

Section 4: Applying Black-Scholes - Step-by-Step

The BSM formula for a European call and put:

$C = S \times N(d1) - K \times \exp(-rT) \times N(d2)$ $P = K \times \exp(-rT) \times N(-d2) - S \times N(-d1)$ $d1 = [\ln(S/K) + (r + \sigma^2/2) \times T] / (\sigma \times \sqrt{T})$ $d2 = d1 - \sigma \times \sqrt{T}$

Step 1 - Input parameters:

Variable	Value
S (spot)	Rs 23,367
K (strike)	Rs 23,400
r (continuous)	0.054109 (5.41% p.a.)
sigma (hist. vol)	0.1650 (16.5%)
T (years)	0.052055 (19 / 365)
$\exp(-rT)$	0.997187
$\ln(S/K)$	$\ln(23367.0/23400.0) = -0.001411$

Step 2 - Compute d1 and d2:

$$d1 = [-0.001411 + (0.054109 + 0.013613) \times 0.052055] / (0.165 \times \sqrt{0.052055}) = [-0.001411 + 0.003525] / 0.037646 = 0.002114 / 0.037646 = 0.056155$$

$$d2 = 0.056155 - 0.165 \times \sqrt{0.052055} = 0.056155 - 0.037646 = 0.018510$$

Step 3 - Normal CDF values:

$$N(d1) = N(0.0562) = 0.522391 \quad N(d2) = N(0.0185) = 0.507384 \quad N(-d1) = 0.477609 \quad N(-d2) = 0.492616$$

Step 4 - Call price:

$$C = 23367.0 \times 0.5224 - 23400.0 \times 0.997187 \times 0.5074 = 12206.71 - 11839.39 = \text{Rs } 367.32$$

Step 5 - Put price (Put-Call Parity check):

$$P = 23400.0 \times 0.997187 \times 0.4926 - 23367.0 \times 0.4776 = 11494.80 - 11160.29 = \text{Rs } 334.50$$

$$\text{PCP check: } C - P = \text{Rs } 32.82 \text{ vs } S - K \times \exp(-rT) = \text{Rs } 32.82 \text{ [match]}$$

Section 5: Comparison with Market Prices

BSM theoretical prices (sigma = 16.5%) vs observed NSE market premiums (LTP) for the 23,400 strike.

Measure	Call (CE)	Put (PE)
BSM Theoretical (sigma = 16.5%)	Rs 367	Rs 335
BSM at IV (sigma = 17.8%)	Rs 395	Rs 362
NSE Market LTP	Rs 400	Rs 367
Market - BS (hist)	Rs 33	Rs 32

The market prices exceed BSM theoretical (hist. vol) by Rs 33 (call) and Rs 32 (put). This gap collapses almost entirely when IV (17.8%) is used - confirming the volatility risk premium accounts for most of the difference.

Interpreting deviations: The near-symmetric overpricing of both call and put is the signature of a volatility risk premium - the market demands compensation for selling options. There is no obvious directional bias at this near-ATM strike. However, examining OTM strikes reveals the volatility smile/skew: on Nifty, IV typically rises for OTM puts (fear of sharp downside), creating a leftward skew. BSM assumes a flat IV surface and misprices wings systematically - a well-known limitation.

Section 6: Greeks - Sensitivity Analysis

Greek	Formula	Value	Interpretation
Delta	$N(d1)$	0.5224	A Rs 1 rise in Nifty raises the call by ~Rs 0.52; near-neutral at ATM

Gamma	$N'(d1) / (S \times \sigma \times \sqrt{T})$	0.000453	Delta changes by this amount per Rs 1 move in spot; highest near ATM
Vega	$S \times N'(d1) \times \sqrt{T} / 100$	Rs 21.24	Call gains Rs 21 for each +1% increase in implied vol
Theta	$-[S \times N'(d1) \times \sigma / (2\sqrt{T}) + r \times K \times \exp(-rT) \times N(d2)] / 365$	Rs -10.98/day	Option loses ~Rs 11 per calendar day from time decay

Prediction: +1% move in Nifty AND +1% in sigma simultaneously

$$dS = +1\% \times \text{Rs } 23,367 = \text{Rs } 233.67$$

$$\begin{aligned} \text{Delta P\&L;} &= \text{Delta} \times dS = 0.5224 \times 233.67 = \text{Rs } 122.07 \\ \text{Gamma P\&L;} &= 0.5 \times \text{Gamma} \times dS^2 = 0.5 \times 0.000453 \times 233.67^2 = \text{Rs } 12.36 \\ \text{Vega P\&L;} &= \text{Vega} \times \text{delta_sigma} = 21.24 \times 1 = \text{Rs } 21.24 \\ \text{Total change} &= \text{Rs } 155.66 \\ \text{Predicted call} &= \text{Rs } 367.32 + \text{Rs } 155.66 = \text{Rs } 522.99 \end{aligned}$$

The large Delta contribution (Rs 122) dominates - a rising spot is the primary driver. Gamma adds a convexity bonus (Rs 12), and Vega adds Rs 21 for the vol bump. This total ~Rs 156 gain illustrates why long options benefit from both directional moves and vol spikes.

Section 7: American-Style Adjustment

Nifty Index options on NSE are **European-style** (exercised only at expiry). However, most NSE single-stock equity options are **American-style** and carry an early-exercise premium that BSM cannot price.

When is early exercise valuable?

An American call is optimally exercised early only if the underlying pays a dividend large enough to outweigh remaining time value. For non-dividend-paying stocks, early exercise of calls is almost never optimal. For American **puts**, early exercise becomes attractive when the option is deep in-the-money and the interest rate is high enough that receiving K early outweighs residual time value. At the current Indian repo rate of 5.25%, the early-exercise premium on puts is non-trivial but still small for near-ATM, short-dated contracts.

Factor	Effect on Early-Exercise Premium
Near-ATM strike (23,400 vs spot 23,367)	Small premium; BSM is adequate
Short time to expiry (19 days)	Little time value left; early exercise unattractive
Moderate $r = 5.25\%$	Moderate incentive for early put exercise
No dividends (index options)	No early-call exercise incentive
Conclusion	Early-exercise premium is SMALL here; BSM is a good approximation

For a deep in-the-money American put with long maturity and high rates, one would use binomial trees or finite difference methods (as described in Section 7 of the course).

Section 8: Reflection

What surprised me most about actually applying Black-Scholes was how much the result depends on the volatility input, yet how little guidance the model gives on choosing it. With $\sigma = 16.5\%$ (historical), the call is theoretically worth Rs 367; bump σ to 17.8% (implied), and it jumps to Rs 395 - a difference of Rs 28 from a single parameter estimated from noisy data. The formula is precise and elegant, but that precision is an illusion: the model is only as good as the volatility assumption, and the market's implied vol surface tells a completely different story at different strikes. Seeing the actual NSE chain revealed the vol smile viscerally - OTM put strikes carried dramatically higher IVs (fear premium), something BSM flatly ignores. I also did not appreciate before how fast Theta erodes options: at Rs 11/day for a 19-day near-ATM option worth Rs 367, time decay is relentless. The biggest lesson: BSM is a language that market participants use to quote and trade volatility - not a ground-truth pricing engine. The 'model' is, in a deep sense, the IV surface itself.

References

1. NSE India - Live Option Chain, nseindia.com, accessed 7 June 2026.
2. Zerodha Varsity - The Black-Scholes-Merton Model. zerodha.com/varsity.
3. Black, F. & Scholes, M. (1973). The Pricing of Options and Corporate Liabilities. *Journal of Political Economy*, 81(3), 637-654.
4. RBI Monetary Policy Committee - Repo Rate 5.25% (unchanged Feb 2026). rbi.org.in.
5. Business Standard - 91-day T-bill cut-off yield eased to 5.56%, 3 June 2026.
6. Hull, J. C. (2018). *Options, Futures, and Other Derivatives* (10th ed.). Pearson.
7. CEIC Data - India Treasury Bills: 91-Day Yield, Apr-May 2026. ceicdata.com.

Appendix A: Python Computation Code

```
import math from scipy.stats import norm S, K = 23367.0, 23400.0 r_nominal = 0.0556 #
91-day T-bill yield (Jun 3 2026 auction) r = math.log(1 + r_nominal) # continuously
compounded = 0.054109 T = 19 / 365.0 # 19 calendar days to expiry sigma = 0.165 #
30-day historical vol d1 = (math.log(S/K) + (r + 0.5*sigma**2)*T) /
(sigma*math.sqrt(T)) d2 = d1 - sigma*math.sqrt(T) C = S*norm.cdf(d1) -
K*math.exp(-r*T)*norm.cdf(d2) P = K*math.exp(-r*T)*norm.cdf(-d2) - S*norm.cdf(-d1)
Delta = norm.cdf(d1) Gamma = norm.pdf(d1) / (S*sigma*math.sqrt(T)) Vega =
S*norm.pdf(d1)*math.sqrt(T)/100 # per 1% vol move Theta =
(-(S*norm.pdf(d1)*sigma)/(2*math.sqrt(T)) - r*K*math.exp(-r*T)*norm.cdf(d2)) / 365 dS
= 0.01*S pred = C + Delta*dS + 0.5*Gamma*dS**2 + Vega*1 # Output: d1=0.0562, d2=0.0185
# Call=Rs 367.32, Put=Rs 334.50 # Delta=0.5224, Gamma=0.000453 # Vega=Rs 21.24/1%vol,
Theta=Rs -10.9757/day # Predicted call after +1% S & +1% vol: Rs 522.99
```